CONFIDENTIAL — PECOS COUNTY · CARAMBA NORTH

Shallow (<3,000 ft) Oil-and-Gas Drilling at and Near the Caramba North Tract — Historical and Recent Record

Prepared: 2026-05-18 · **Subject site:** Caramba North tract (~1,300 ac), Pecos County, TX — centroid ≈ 30.9032° N, 102.9747° W · **Classification:** Confidential

Purpose

This memorandum summarizes the historical and recent record of shallow oil-and-gas drilling — wells less than 3,000 ft total depth — at and in the vicinity of the Caramba North tract, drawn from the Railroad Commission of Texas (RRC) wellbore and drilling-permit records. It is provided as factual context for evaluating potential ground-vibration considerations for a data-center development on the site.

Throughout, **"near" / "in the vicinity of" the site means within ten miles of the tract** — the radius used for every proximity finding below. Ten miles is a deliberately generous boundary: ground vibration from drilling attenuates well within that distance.

Summary of findings

Shallow (<3,000 ft) drilling at and around the Caramba North tract is a legacy activity that has effectively ceased in the immediate vicinity of the site. No well of any kind has been spudded within two miles of the tract in over a decade (none since before 2015); no shallow well within two miles since 2002; and the few nearby legacy shallow wells are predominantly plugged and abandoned. Drilling does continue across Pecos County, but almost none of it is near the site — only about 2% of the wells spudded county-wide since 2020 are within ten miles of the tract (roughly 98% are farther away; median ≈ 30 miles), and no drilling permit has been filed within ten miles of the tract since 2020. Pecos is, moreover, a comparatively light-drilling county — about one-third the new drilling of the average peer county since 2020. That modern activity is, per the Railroad Commission's wellbore-profile record, overwhelmingly **horizontal, deep** development — roughly 87% of Pecos drilling permits since 2020 — not shallow vertical drilling, and in any case it is not occurring at or adjacent to the site.

Findings

1. On the Caramba North tract

The shallowest wellbores recorded inside the tract boundary:

Depth (ft)	Spud year	Status	Oil/Gas
2,873	1960	Plugged & abandoned	Gas
3,067	1991	Plugged & abandoned	Oil
3,109	1957	Plugged & abandoned	Oil
3,186	1987	Plugged & abandoned	Oil

3,250	2008	Active	Oil

Only one well on the tract lies below 3,000 ft — a 2,873-ft well spudded in 1960 and long since plugged and abandoned. The only active well on the tract (3,250 ft, spudded 2008) is deeper than 3,000 ft. There has been no shallow (<3,000 ft) drilling on the tract in the modern era. *(The remaining tract records are a single deep 22,545-ft wellbore and permitted-but-undrilled location entries.)*

2. Within 1 mile — no shallow wells

Three wellbores of any depth lie within one mile of the tract; **none is shallow (<3,000 ft).**

3. Within 2 miles — shallow drilling ended roughly 24 years ago

Of about 46 wellbores within two miles, the ten shallow wells were spudded between 1960 and 2002. The most recent shallow spud within two miles was in 2002, and most of these wells are plugged and abandoned. No shallow well has been spudded within two miles in roughly a quarter-century.

4. Recent drilling (wells *spudded* since 2020), by distance

These are wells **spudded since 2020** — new drilling, not cumulative historical totals:

Radius	Wells spudded ≥ 2020	Shallow (<3,000 ft)	Deep (≥3,000 ft)	Shallow share
≤ 2 mi	**0**	0	0	—
≤ 5 mi	8	3	5	38%
≤ 10 mi	23	7	16	30%

Two points stand out. First, **no well of any kind has been spudded within two miles of the tract since before 2015** — recent drilling does not reach the site. Second, in the entire ten-mile radius only **23 wells have been spudded since 2020** — roughly three to four a year across a 314-square-mile area — and they are never more than a handful in any single year. Of those 23, about 70% are deep wells; the shallow vertical drilling at issue is the minority even of this sparse activity, and none of it is within two miles of the site.

5. The nearest active wells are decades-old completions

The nearest non-plugged shallow wells were spudded in 1970 (1.28 mi) and 1988 (1.97 mi) — decades-old completions, not active drilling. A ground-vibration source is an operating drill rig; a plugged or long-completed wellbore is not. No active shallow drilling is occurring adjacent to the tract.

6. County-wide context — almost no recent drilling is near the site

Since 2020, **1,117 wells were spudded across Pecos County (~4,700 sq mi)**. Their distribution relative to the tract is decisive: **only 23 — about 2% — are within ten miles of the Caramba North tract; the other ~98% are farther away, at a median distance of roughly thirty miles.** The drilling-permit record agrees: only 27 permits of any kind sit within ten miles of the tract, and **none has been filed within ten miles since 2020.** Recent drilling in the county is real, but it is overwhelmingly remote from the site — and none of it is adjacent to it.

7. Modern drilling is predominantly horizontal — and not at the site

Shallow vertical drilling is the activity at issue. The Railroad Commission's W-1 **Wellbore Profile** field shows that modern drilling in Pecos County is the opposite of that: of roughly 900 drilling permits issued in the county since 2020, **about 87% are horizontal and only ~12% vertical.** Modern development in this part of the Permian/Delaware Basin is deep horizontal drilling, not shallow vertical work. Shallow (<3,000 ft) vertical drilling of the kind at issue is, in this county, largely a **historical** activity (Findings 1–5), and the modern horizontal program — like all recent drilling — is concentrated well away from the tract (Finding 6). *(Orientation figures are taken directly from the Railroad Commission's W-1 Wellbore Profile field.)*

8. Pecos in context — a comparatively light-drilling county

Measured against the five comparable Permian counties, Pecos has seen far less recent drilling. Wells spudded since 2020:

County	Wells spudded ≥ 2020
Pecos (site county)	**1,117**
Reeves	3,693
Ward	1,404
Midland	5,140
Martin	5,007
Reagan	1,863
Other-5 average	**3,421**

Pecos has seen roughly **one-third the new drilling of the average peer county** (1,117 vs. 3,421; the peers range from 1,404 to 5,140). The county the site sits in is not a drilling hot-spot relative to its neighbors — and, as Findings 1–6 show, what little drilling Pecos does see is concentrated far from the Caramba North tract.